Tuition Fee Protection Policy and Procedure

1. Purpose

This Policy and Procedure establishes TIIS's framework for protecting tuition fees paid by overseas students and intending overseas students, meeting its obligations under the Education Services for Overseas Students Act 2000 (ESOS Act), the Tuition Protection Service (TPS) framework, the National Code of Practice for Providers of Education and Training to Overseas Students 2018, and applicable higher education governance and financial-management requirements.

It is intended to ensure that prepaid tuition fees are collected, held, released, refunded, reconciled and reported lawfully; that students are protected if TIIS or a student defaults; and that the Board receives appropriate assurance over TIIS's tuition protection arrangements.

2. Scope

This Policy applies to:

- overseas students and intending overseas students enrolled, or seeking to enrol, in TIIS CRICOS-registered courses;
- tuition fees and prepaid tuition fees to which the ESOS Act applies;
- the TIIS designated account used to hold the statutory protected amount;
- provider default and student default obligations, refunds and TPS interactions; and
- Directors, the CEO, Finance, Registrar / Student Services, Admissions, Compliance and other staff or agents involved in fee collection, administration, refund, reporting or assurance.

This Policy does not replace the TIIS Refund Policy and Procedure or written student agreement. Where legislation imposes a higher or different requirement, the legislation prevails.

Future domestic tuition protection: This version applies to overseas students under the ESOS framework. If TIIS receives approval to offer FEE-HELP or other HELP assistance that triggers domestic student tuition protection obligations, the CEO must initiate a review before implementation to extend the scope, responsibilities and procedures as required by the applicable domestic tuition protection framework.

3. Legislative and Governance Framework

TIIS must administer tuition protection consistently with, as applicable:

- Education Services for Overseas Students Act 2000, including requirements concerning prepaid fees, the protected amount, designated accounts, provider default and student default;
- Education Services for Overseas Students Regulations 2019;
- Education Services for Overseas Students (Calculation of Refund) Instrument 2024, as amended or replaced;
- Education Services for Overseas Students (TPS Levies) Act 2012 and applicable annual levy instruments;
- National Code of Practice for Providers of Education and Training to Overseas Students 2018, including written agreement and fee-information requirements;
- Higher Education Standards Framework (Threshold Standards) 2021, including financial viability, corporate monitoring and accountability, information and student protection requirements;
- TIIS Constitution, Governance Charter, Delegations of Authority, Financial Management Policy, Risk Management Policy and Refund Policy and Procedure.

4. Policy Principles

- Student protection: TIIS will protect prepaid tuition fees and meet refund or placement obligations within statutory timeframes.
- Legal trigger, not census date: for ESOS protected-amount purposes, release from the designated account is governed by the student's commencement of the relevant course and other withdrawals expressly permitted by the ESOS Act. A census date must not be used as a substitute for the statutory commencement test.
- Segregation: amounts forming part of the protected amount must be maintained in a separate designated account and not mixed with ordinary operating funds.
- No premature use: protected amounts must not be used for payroll, rent, agents, creditors, ordinary operating expenses or other institutional purposes before lawful release.
- Traceability: each receipt, release, refund, adjustment and transfer must be attributable to the relevant student, course and transaction.
- Sufficient balance: TIIS must ensure at all times that the designated account contains at least the protected amount required by law.
- Governance and assurance: management is responsible for operation; the Board retains oversight and must receive sufficient assurance about compliance, financial controls and material risks.

5. Definitions

Term	Definition
Agreed starting day	The day agreed with the student for the course to start, as recognised under the ESOS framework.
Designated account	The separate bank account maintained by TIIS for amounts required by the ESOS Act to form part of the protected amount.
Prepaid tuition fees	Tuition fees received before the relevant student has begun the course, to the extent those fees are subject to the ESOS protected-amount requirements.
Protected amount	The amount TIIS is required by the ESOS Act to maintain in the designated account in respect of relevant overseas students and intending overseas students.
Provider default	A default by TIIS within the meaning of the ESOS Act, including where a course does not start on the agreed starting day or ceases to be provided before completion in circumstances covered by the Act.
Student default	A default by an overseas student or intending overseas student within the meaning of the ESOS Act.
TPS	The Australian Government Tuition Protection Service established to support eligible students when provider or student default obligations are not discharged as required.
Tuition fees	Fees that constitute tuition fees for ESOS purposes, distinguished from non-tuition fees in accordance with applicable legislation.

6. Roles and Responsibilities

Role	Responsibility
Board of Directors	Oversees financial viability, tuition protection risk and regulatory compliance; approves this Policy; receives material breach/default reporting and periodic assurance.
CEO	Accountable for implementation, adequate resources, lawful delegations, escalation of material risks and timely response to any provider-default risk.
Finance / Company Accountant	Maintains the designated account, transaction records and reconciliations; calculates the protected amount; controls releases and refunds; reports shortfalls immediately.
Registrar / Student Services	Maintains enrolment and commencement information, verifies student/course status, supports written agreements, refunds and PRISMS-related processes.

Admissions	Ensures offers and written agreements accurately disclose fees, payment arrangements, refunds and TPS information before acceptance where required.
Quality and Compliance Manager	Provides second-line monitoring, compliance sampling, regulatory horizon review, breach escalation and assurance reporting.
Authorised bank signatories	Approve transactions only within delegation and after evidence demonstrates that withdrawal from the designated account is lawful.

7. Tuition Fee Collection and Written Agreements

7.1 Collection limits

Before a student begins a course, TIIS must not require or receive more than the amount of tuition fees permitted by the ESOS Act. In general, TIIS must not require more than 50% of the total tuition fees for a course before commencement, subject to statutory exceptions, including where the course is 25 weeks or less or where the student or payer chooses to pay more. Where voluntary additional prepayment is accepted, TIIS must retain evidence that the choice was genuinely exercised.

7.2 Written agreement

The written agreement must clearly identify tuition and non-tuition fees, payment periods and arrangements, amounts that may or may not be refunded, the refund process and eligible refund recipient, and a plain-English explanation of what occurs if the course is not delivered, including the role of the TPS. The agreement must be consistent with the ESOS Act, National Code and TIIS Refund Policy and Procedure.

8. Designated Account and Protected Amount

8.1 Deposit of protected amounts

All tuition fees received that are required by the ESOS Act to form part of the protected amount must be deposited into the TIIS designated account. The account must be separate from TIIS operating accounts and must not be used as a general cash-management account.

The designated account must be identified in the TIIS Regulatory Obligations Register by bank and account name, with sufficient controlled internal account identifiers to permit verification without unnecessarily disclosing banking credentials. Any proposed change to the designated account requires prior written CEO approval and notification to the Audit and Risk Committee (ARC). Finance must maintain an auditable record of the change and ensure uninterrupted compliance with the statutory protected-amount requirements.

Bank-account governance: opening or closing the designated account, changing signatories, online banking users or payment limits, and any material change to tuition-protection banking arrangements are reserved to the Board under the Finance Management Policy and the Board-approved Delegations of Authority Schedule. CEO approval and ARC notification under this section are additional operational controls and do not replace prior Board approval where required. Finance must maintain the Banking Access Register and evidence of approvals.

8.2 Required balance

Finance must calculate and reconcile the protected amount at least monthly and additionally after material intake, commencement, refund, withdrawal, cancellation or other events affecting the balance. The balance of the designated account must not fall below the protected amount.

Designated-account funds must be excluded from TIIS unrestricted operating cash, liquidity forecasts and funds available for general expenditure. Finance must compare the bank balance with the student-by-student protected-amount ledger, student management system and regulatory records and assess any material movement after intake, commencement, cancellation, refund or other relevant event.

8.3 Permitted withdrawals

A withdrawal may be made only where permitted by the ESOS Act, including, as applicable:

- when tuition fees cease to form part of the protected amount because the relevant student has begun the course;
- to pay a refund required under the applicable ESOS default provisions;
- to pay an alternative provider where TIIS has lawfully arranged an alternative course at TIIS's expense following provider default;
- to pay an amount to the TPS Director where required by law; or
- for another purpose expressly authorised by the ESOS Act.

The fact that a census date has passed, a teaching block has ended, revenue has been recognised for accounting purposes, or a fee has become non-refundable under an internal rule does not, by itself, authorise withdrawal from the designated account.

The TIIS Protected Amount and Prepaid Tuition Fees Procedure and section 8 of the Finance Management Policy must be interpreted and applied consistently with this Policy and the ESOS Act. For routine release, the relevant statutory trigger is the student's commencement of the course, not the census date. The CEO must ensure that any conflicting operational wording is corrected before the related procedure is approved or implemented.

Finance Management Policy and Procedure (revised Version 3.0)

9. Operational Procedure

9.1 Receipt and recording

1. Issue an official receipt and record the payment in the finance system and student management system.
2. Record the student identifier, course, study period/payment purpose, amount, date received and payer.
3. Determine whether the amount forms part of the statutory protected amount.
4. Deposit protected amounts into the designated account promptly and maintain an auditable transaction trail.

9.2 Verification before release

Before any routine release, Finance must obtain and retain evidence that:

- the student has actually begun the relevant course for ESOS purposes;
- the amount proposed for release relates to that student and does not exceed the amount lawfully releasable;
- the amount is not subject to a pending refund, unresolved payment dispute, cancellation or other restriction; and
- the remaining designated-account balance will not fall below the protected amount.

Student Services / Registrar must confirm commencement status. Finance must prepare the release reconciliation. An authorised approver/signatory must approve the transaction in accordance with the Delegations of Authority.

Approval of a lawful release and authorisation of the corresponding bank payment are separate controls. The approver must act within the Board-approved Delegations of Authority Schedule; payment release must comply with the required independent banking authorisations. The preparer, verifier and approver must be segregated wherever practicable. No release may be authorised merely because revenue has been recognised or a census date has passed.

9.3 Refunds

Refunds must be assessed and paid in accordance with the ESOS Act, applicable refund instrument, the written agreement and the TIIS Refund Policy and Procedure. Where the amount remains part of the protected amount, the refund may be paid from the designated account where permitted by law. Refund calculations, approval, payment evidence and any required reporting must be retained.

Refund approvals and bank payment releases must be independently controlled in accordance with the Delegations of Authority Schedule and Finance Management Policy. Finance must reconcile each refund to the student account and, where applicable, adjust the protected-amount ledger without causing a statutory shortfall.

9.4 Reconciliation and exception management

Finance must perform and document a monthly reconciliation covering at least:

- designated-account bank balance;
- student-by-student protected amount ledger;
- receipts, lawful releases, refunds and adjustments during the period;
- unidentified or unmatched transactions; and
- confirmation that the account balance is not less than the required protected amount.
- The month-end designated-account reconciliation must be prepared and signed by Finance and reviewed by the CEO, with evidence of review retained. A quarterly reconciliation summary, including balances, exceptions, shortfalls and corrective actions, must be reported to the Audit and Risk Committee (ARC). TIIS must request the external auditor to test the designated account and the associated protected-amount controls annually, with findings and management responses reported to the ARC.

The monthly report must also reconcile billed, received, allocated, deferred, refunded and unearned tuition fees by student and course, and identify suspense items, aged exceptions and any unexplained differences. Unidentified or unallocated receipts must be entered in a controlled suspense register, investigated within 30 days and escalated to the CEO if unresolved after 90 days; applicable unclaimed-money obligations must be assessed under the Finance Management Policy. An unidentified receipt must not be treated as income solely because its payer is unknown.

Any actual or potential shortfall must be reported immediately to the CEO and Quality and Compliance Manager. No withdrawal that would increase the shortfall may occur. The shortfall must be rectified promptly, investigated, recorded as a compliance incident and, where material or legally reportable, escalated to the Board and relevant regulator/TPS.

10. Provider Default and TPS

If TIIS defaults within the meaning of the ESOS Act, TIIS must immediately activate its provider-default response arrangements. This includes notifying the relevant ESOS agency and TPS Director within the statutory timeframe, notifying affected students, and discharging its obligations within the provider obligation period by arranging an acceptable alternative course or refunding unspent tuition fees as required by law.

As at October 2026, the Department of Education describes the key international-provider timeframes as notification of provider default within 3 business days, discharge of student obligations within 14 days after the default day, and notification of the outcome within 7 days after the end of that obligation period. TIIS must verify the current statutory requirements at the time of any default.

The CEO must contact the TPS promptly where TIIS considers there is a material risk that it may be unable to continue delivering a CRICOS course or discharge its obligations.

11. Student Default

Student default must be managed in accordance with the ESOS Act, the written agreement and the Refund Policy and Procedure. Where a statutory refund is payable, TIIS must calculate and pay the refund within the applicable provider obligation period and complete any required notification to the relevant ESOS agency and TPS Director.

As at October 2026, the Department of Education identifies a four-week provider obligation period for applicable student-default refunds. Current statutory requirements must be checked when the event occurs.

12. Governance, Monitoring and Assurance

Tuition protection is a material compliance and financial-control responsibility. Operational responsibility remains with management, while the Board retains oversight under the TIIS Governance Charter.

The Board retains oversight of material tuition-protection changes, bank accounts and signatories, liquidity and solvency risks, and appointment of the independent external auditor. ARC provides financial-control and compliance assurance; it does not replace the Board or executive management in approving or operating bank transactions. The CEO and Finance Manager must include protected-amount compliance, exceptions and potential provider-default exposures in quarterly written solvency and statutory-obligations attestations to the Board and ARC.

- Finance must report protected-amount reconciliations and material exceptions through the approved management reporting framework and to the ARC quarterly in accordance with section 9.4.
- The Quality and Compliance Manager must periodically sample compliance with deposits, releases, refunds, written agreements and reconciliations.
- Material breaches, unexplained discrepancies, repeated control failures, liquidity concerns or provider-default indicators must be escalated to the CEO and, where material, to the Board and Audit and Risk Committee (ARC).
- The Board must receive sufficient periodic assurance to assess the effectiveness of tuition protection controls and TIIS's capacity to meet student refund and provider-default obligations.

ARC must monitor designated-account control findings, external audit observations, corrective-action owners and due dates until closure. Any actual or potential shortfall, unauthorised withdrawal, inability to meet refunds or provider-default warning must be escalated immediately to the CEO and, where material, to the Board and ARC; quarterly reporting does not delay urgent escalation.

- The Risk Register must capture material tuition protection and provider-default risks, controls, owners and treatment actions.

13. Records and Evidence

TIIS must maintain complete and retrievable evidence sufficient to demonstrate compliance, including:

- student written agreements, invoices and receipts;
- student-by-student protected amount calculations and ledgers;
- bank statements and reconciliations for the designated account;
- commencement confirmations and release approvals;
- refund assessments, approvals and payment evidence;
- provider/student default notices and TPS/regulatory correspondence;
- breach, incident, risk and corrective-action records; and
- management, compliance and Board assurance reports.

Records must be retained for the period required by applicable law and TIIS records-management requirements, whichever is longer.

14. Breaches and Corrective Action

Suspected non-compliance must be reported promptly. The CEO must ensure containment, investigation, restoration of any protected-amount shortfall, student remediation where required, root-cause analysis and corrective action. Regulatory notification must be made where required by law. Deliberate or reckless misuse of protected funds may constitute serious misconduct and may expose TIIS and individuals to significant regulatory consequences.

15. Related TIIS Documents

- TIIS Protected Amount Prepaid Tuition Fees Procedure Refined Final V1.1
- Refund Policy and Procedure

- Student Fees and Charges Policy
- Admissions Policy and Procedure
- Financial Management Policy
- Risk Management Policy
- Delegations of Authority Policy and Schedule
- Governance Charter
- Student Complaints and Grievances Policy and Procedure
- Academic Records Management Policy

16. Review

This Policy must be reviewed at least every two years and earlier where there is a material change to the ESOS framework, TPS requirements, TIIS's banking or financial-control arrangements, governance framework, CRICOS operations or identified compliance risk. Operational procedures and control schedules may be updated between formal policy reviews where consistent with this Policy and approved delegations.

Finance and Quality and Compliance must conduct an annual alignment check with the Finance Management Policy, Board-approved Delegations of Authority Schedule, Banking Access Register, Regulatory Obligations Register, Refund Policy and Procedure, and Protected Amount and Prepaid Tuition Fees Procedure. Any material change to financial-control or delegated approval arrangements must be referred for the appropriate approval before implementation.

A specific review must be initiated if TIIS obtains HELP approval or becomes subject to domestic student tuition protection requirements. This review must occur before the relevant domestic arrangements commence and must address the domestic TPS framework, applicable fee and reporting obligations, and consequential amendments to related policies and procedures.

17. Document Control

Policy title	Tuition Fee Protection Policy and Procedure
Policy category	Corporate Governance / Financial Management / Student Protection
Version	2.2
Policy owner	CEO
Operational owners	Finance and Registrar / Student Services
Compliance assurance	Quality and Compliance Manager
Approval authority	Board of Directors
Effective date	24 October 2026
Review cycle	At least annually for financial-control alignment, and formal policy review at least every two years or earlier following material change.

18. Version History

Version	2.2 (Proposed)	Approval date	Effective date	Details
2.0	EMT	Pending	On approval	Comprehensive redevelopment for ESOS/TPS compliance and TIIS governance alignment
2.1	Board of Directors	Pending	On approval	Deputy Chair comments, ARC, designated-account register, quarterly assurance, commencement trigger and future domestic

				TPS review.
2.2	Board of Directors	24 October 2026	24 October 2026	Alignment with Finance Management Policy v3.0: Board-reserved banking powers, independent release and payment controls, cash-flow exclusions, suspense receipts, reconciliations, solvency attestations and ARC assurance.

Key Regulatory References

Education Services for Overseas Students Act 2000; Education Services for Overseas Students Regulations 2019; Education Services for Overseas Students (Calculation of Refund) Instrument 2024; National Code 2018; Education Services for Overseas Students (TPS Levies) Act 2012; Higher Education Standards Framework (Threshold Standards) 2021.